industries. Even an announcement that the bank would concentrate on ordinary business, as distinct from the industrial side of its business, did nothing to arrest the confusion.

But the bank's balance sheet on March 31, 1923 was surprisingly healthy. The subscribed and paid-up capital were ₹7.51 crores and ₹2.27 crores respectively and the deposits amounted to a healthy ₹5.96 crores, apart from a substantial reserve. As a memorandum circulated by the bank's General Manager showed, purely industrial investments aggregated only ₹27 lakhs, distributed among three enterprises, of which two were TISCO and Bombay Electric Supply and Tramways Company (BEST). Liquid assets accounted for about 66 percent of the deposits. Since more than half the deposits were fixed, and the fixed capital amounted to more than 15 percent of the deposits, the position of the bank was inherently sound.

Why then did the bank fail? In those days a bank's fortunes also depended to a large extent on non-rational factors, and lack of confidence, however unjustified, often became a major threat. It was adversely affected by the failure of the Alliance Bank of Simla and a run on its (TIB's) Calcutta branch compounded its misfortune. Added to this was the fact that the government policy was uncertain about the protection it would offer to key industries. The TIB's industrial investments rapidly depreciated. The TIB had also spent ₹66 lakhs on its magnificent structures in Bombay and Calcutta. The management maintained that after housing the bank, the properties would yield a return of 4 percent. But the land and buildings acquired during the boom of 1918 rapidly depreciated along with its industrial investments. A failure of the TIB to make any gesture which could inspire confidence led to a rapid decline in the bank's deposits. Also, at that time, the House of Tatas was passing through a lean phase and many of its enterprises had not fulfilled the high hopes of the investors fostered by the war boom.

Sorabji, who was watching closely, realized that normal methods to resuscitate the failing bank would not work and he put forward a scheme for amalgamation of the TIB. In terms of scale and implication, Sorabji's scheme was unprecedented. The Central Bank was a much smaller bank than the one it intended to absorb. It had a subscribed capital of ₹1 crore (with half of this being paid-up), while the TIB's subscribed and paid-up capital were as noted above, ₹7.51 crores and ₹2.27 crores, respectively. On